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A wrap on Farnborough 2026

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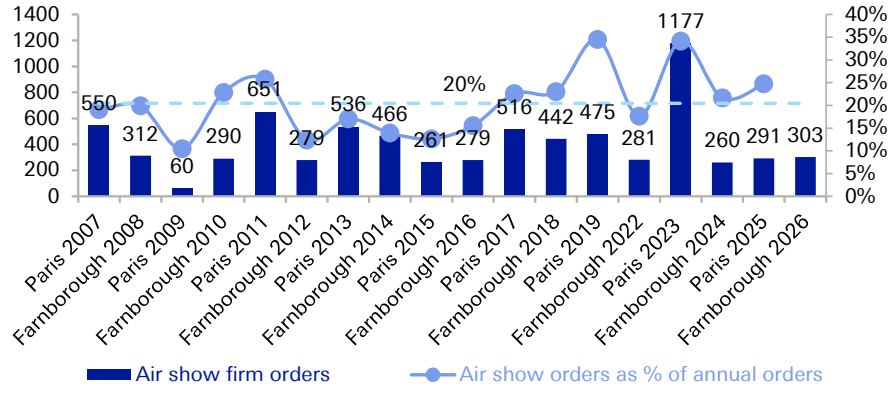
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Farnborough 2026 extends backlog visibility

The 2026 Farnborough Airshow saw a stronger order intake than anticipated, demonstrating that airline and lessor's appetite for new aircraft remains robust despite ongoing geopolitical tensions and supply-chain disruptions. The show was anchored by SMBC Aviation Capital's landmark 200-aircraft split order for 737 MAX and A320neo-family aircraft, while Riyadh Air added materially to both its Boeing 787 and Airbus A350 fleets. Additional widebody orders from airlines and lessors reinforced confidence in long-haul demand, helping the show close with more than 300 firm aircraft orders.

Across the show, discussions centred on production ramp-ups, engine availability, maintenance capacity and supply-chain resilience. A notable trend was the growing strategic importance of engines and aftermarket services. Several of the largest transactions announced during the week were engine-related rather than aircraft-related, including IndiGo's preliminary agreement for more than 1,000 LEAP engines, BOC Aviation's order and options for up to 300 LEAP engines, and major GTF selections. Overall, Farnborough confirmed that the industry remains in a multi-year growth phase supported by strong traffic demand, ageing fleet replacement needs and airline expansion plans.

Figure 1:Farnborough 2026 sees higher orders than previous 2 iterations



Source : Deutsche Bank

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Company news of interest

Below, we provide important sector news items relevant to our coverage universe. We select these stories and present them by company, along with our views.

Airbus (Buy, PT: €232)

Airline group IATA taps World Economic Forum's Zahidi as new chief

The International Air Transport Association (IATA) announced on 23 July that World Economic Forum managing director Saadia Zahidi will take over as its new director general on November 1, succeeding Willie Walsh. Zahidi, an economist and the first woman to hold the position, joins IATA at a critical juncture as the aviation sector navigates geopolitical and economic challenges, including oil prices exceeding $100 a barrel due to Middle East strife. She will also confront discussions on curbing flight pollution, as the industry's 2050 net-zero goal is threatened by shortages of efficient aircraft and green jet fuel. Zahidi has previously expressed concern that environmental risks were being deprioritized in Favor of short-term geopolitical and geoeconomic issues. (Source: Reuters)

Our view: *We do not see a material near-term read-across for aerospace OEMs or engine manufacturers from the leadership change itself. However, the appointment comes at a time when the industry faces rising tension between growth ambitions and decarbonisation objectives. We expect IATA under Zahidi to continue pushing for accelerated deployment of more fuel-efficient aircraft and sustainable aviation fuels, which could indirectly support long-term fleet renewal demand for Airbus and engine manufacturers.*

Airbus reports record customer interest in A400M

Airbus Defence and Space (DS) is experiencing unprecedented customer interest in its A400M transport aircraft, with more negotiations underway than since its first export order in 2005. Jean-Brice Dumont, head of Air Power at Airbus DS, stated that this surge is driven by potential new customers, existing customers placing follow-on orders, and the recently announced NATO shared fleet initiative. He highlighted the A400M's unique position in both tactical and strategic military airlift, noting it is the largest transport aircraft currently in production. To date, Airbus DS has received 178 orders for the A400M, with 139 delivered. (Source: Janes)

Our view: *This is encouraging, but declarations need to be followed by firm orders or face the risk of seeing A400M production close by 2029/2030. The UK DIP, for instance, has reiterated the procurement of additional A400Ms, and the UAE has opted for the Embraer C-390.*

Belgium has finalized the purchase of Brimstone missiles from MBDA to arm its MQ-9B SkyGuardian drones

Belgium's long-standing debate over arming its MALE MQ-9B SkyGuardian drones has concluded with a decision to equip them with weaponry. The Belgian Ministry of Defense, having previously argued for the legal consistency of armed drones with other airborne systems, confirmed the purchase of sixteen Brimstone 3 air-to-ground anti-tank missiles from MBDA for an estimated €10 million. This move aims to "strengthen the operational capacity" of the Belgian Defense forces, reflecting lessons learned from the conflict in Ukraine regarding the importance of drone

systems for rapid, precise intervention and risk reduction for military personnel. The Brimstone missile, developed for the Royal Air Force with a range of approximately 60 km, aligns with the existing partnership between Belgium and the UK on the SkyGuardian program. While the first MQ-9B was delivered in August 2025, the arming decision was only recently finalized, with integration expected in "a few months." (Source: La Tribune)

Our view: *This further extends the MBDA's backlog, a positive for the three partners.*

Saudi's Flynas firms up order for 25 additional Airbus jets, BermudAir orders 10 Airbus A220 planes

Saudi Arabian budget carrier Flynas firmed up an order for 25 additional Airbus aircraft, comprising five A330-900 widebody jets and 20 A321neo aircraft. This increases Flynas' total firm commitment with Airbus to 235 aircraft, including 20 A330neo and 56 A321neo jets, as the kingdom rapidly expands its aviation sector for tourism and economic diversification. Meanwhile, startup airline BermudAir has ordered 10 Airbus A220 airplanes at the Farnborough Airshow, with plans to add up to 20 A220 aircraft by 2030 to serve new routes to Bermuda, Anguilla, Belize, and Turks and Caicos, aiming to more than double its current 11 routes by year-end and eventually replace its Embraer 190 fleet. (Source: Reuters)

Our view: *This is positive for Airbus and MTU and builds on the orders being placed at the Farnborough Airshow. While neither order is large enough to materially move Airbus's backlog on its own, it reinforces continued demand strength across both the A321neo and A220 families despite supply chain constraints. In addition, the flynas firm up order further deepens Airbus's positioning in the Saudi region.*

Airbus secures undisclosed new buyer for A330 MRTT

Airbus's defense unit has secured an undisclosed new buyer for its A330 multi-role tanker transport (MRTT), with more customers expected, according to Jean-Brice Dumont, head of Airbus Defence & Space. To meet rising demand, Airbus is ramping up its annual MRTT conversion capacity from a current maximum of five to seven aircraft by the end of 2027 by adding a new station in San Pablo, Spain. Dumont indicated that this ramp-up, driven by the undisclosed customer and other ongoing negotiations, could lead to a 50% to 100% increase in output, acknowledging the challenge for such a complex product. Total disclosed orders for the A330-based military type stand at 91 aircraft for 20 nations, with 66 delivered to date. The first next-generation MRTT+ version, based on the re-engined A330-800, is slated for delivery to the Royal Thai Air Force. (Source: FlightGlobal)

Our view: *This is positive for Airbus and the fact that Airbus is increasing MRTT conversion capacity before announcing the customer suggests higher confidence in the ongoing negotiations. The MRTT remains the dominant tanker platform globally and rising defence budgets are driving renewed demand for strategic enablers such as aerial refuelling. Additional orders would support margins and utilization within Airbus Defence & Space, as MRTT is seen as one of the most margin accretive margins.*

Airbus says seeking more Pratt jet engines in 2027, P&W offers backing for A220 stretch and says engine maintenance disruption easing

Airbus announced it is seeking more engines from Pratt & Whitney for 2027 deliveries, following ongoing supply challenges with airlines, while noting that CFM is consistently meeting its agreed quantities. Airbus Commercial CEO Lars Wagner anticipates engine supply issues will be resolved by 2028, coinciding with

Pratt & Whitney's statement that maintenance disruptions causing hundreds of aircraft groundings are easing. Pratt & Whitney, while still engaged in discussions with Airbus regarding future plans, has expressed strong support for a potential stretch of the Airbus A220, exclusively powered by its PW1500G geared turbofan (GTF), affirming its capability to meet the requirements within the existing thrust class, with technological enhancements already being integrated into the engine to boost performance. Pratt & Whitney's President of Commercial Engines, Rick Deurloo, views the launch of a new-generation single-aisle aircraft, expected around 2040, as a significant opportunity for the engine maker, emphasizing its commitment to a ducted, geared-turbofan design over an open-fan architecture for future developments. Pratt & Whitney also reported a 40% reduction in grounded aircraft due to engine-related issues from an unspecified peak, with groundings for smaller Airbus A220 and Embraer E2 models virtually disappearing and expected to reach zero in the coming months. (Source: Reuters, FlightGlobal)

Our view: *This reads as a positive: while the 2027 engine Pratt & Whitney supply remains a concern, the anticipated resolution by 2028 and the easing of P&W's maintenance issues paint a more optimistic picture for Airbus's long-term production targets. P&W is clearly working to overcome its recent challenges. Its strong stance on the A220 stretch and its clear technological path for future narrowbody engines (ducted GTF) demonstrate a strategic vision to remain a dominant player in the commercial engine market. The recovery of the A220 and E2 fleets from groundings is a critical step in rebuilding airline confidence. The explicit commitment to a ducted GTF for the next generation of single-aisle aircraft sets up a clear technological battleground with CFM, which is exploring open-fan designs. This will be the competition to watch over the next decade, especially if P&W finds an agreement with Rolls-Royce.*

Boeing asks US to intervene over record EU loan to Airbus

Boeing has urged the U.S. government to demand transparency from the European Union regarding a €3 billion loan package to Airbus from the European Investment Bank (EIB), reigniting trade tensions despite an indefinite extension of a tariff truce over aircraft subsidies. Boeing expressed surprise at the EIB's announcement, made just four days after the truce extension, calling it its largest-ever corporate loan to Airbus, with an initial tranche of €1 billion. The U.S. Trade Representative (USTR) is investigating the loan, questioning its compatibility with the 2021 truce agreement, which mandated an "open and transparent process." The EIB and Airbus maintain the loan is standard and at market rates, but Boeing's concern is amplified by Airbus's discussions of developing a new plane by 2030, potentially the A320neo successor, a project internally codenamed "eAction," which Boeing suggests the loan could be funding. (Source: Reuters)

Our view: *This could be viewed as a negative : Boeing is signalling that it is closely monitoring any financial support given to Airbus, even from EU institutions like the EIB, and is prepared to challenge anything it perceives as violating the spirit or letter of fair trade agreements, thereby threatening the fragile truce between the EU and the US. The situation could eventually lead to the re-imposition of tariffs or new trade actions, effectively ending the indefinite truce.*

Chinese airlines order 95 Airbus jets with list price of $17.8 billion to expand fleets

Three Chinese airlines, Air China, Shenzhen Airlines, and Hainan Airlines, have collectively committed to purchasing 95 Airbus aircraft for a total list price of approximately $17.8 billion. Air China and its unit Shenzhen Airlines will acquire 55

aircraft for $12.4 billion, comprising 15 A350-900 wide-body jets for Air China and 40 narrow-body A320neo-family aircraft for Shenzhen Airlines, with deliveries scheduled between 2029 and 2032. Hainan Airlines will purchase 40 A320neo-family jets for up to $5.4 billion, expected between 2028 and 2032. While the actual transaction prices will be lower due to standard discounts for large orders, these purchases reflect Chinese carriers' efforts to expand capacity and modernize their fleets with more fuel-efficient jets as they recover post-pandemic, despite challenges like elevated fuel prices impacting profitability. These orders follow other substantial Airbus deals from Chinese airlines, including China Eastern Airlines' recent plans for 25 A330neo jets and 101 A320neo aircraft, and China Southern Airlines' agreement for 137 aircraft. (Source: Reuters)

Our view: *Airbus has seen a steady stream of Chinese orders recently, potentially culminating in the 500-unit order once discussed for 2025. The difference this time is that the order comes in smaller batches rather than one large public announcement.*

Conflicts, aircraft orders in focus as Farnborough Airshow kicks off

The Farnborough Airshow, which commences on 20 July, is set to be a significant event for both commercial aviation and the booming defense sector, with a record 1,600 exhibitors, half of whom are defense companies. While planemakers Boeing and Airbus are expected to announce aircraft deals, industry sources anticipate total orders will likely fall short of some forecasts of over 800 aircraft, with a projected little over 300 aircraft orders between the two, primarily due to ongoing supply-chain constraints limiting production. Notably, leasing company SMBC Aviation Capital is reportedly close to ordering around 100 narrowbody aircraft from each manufacturer. Simultaneously, defense firms are arriving in full force, driven by increased military budgets fueled by conflicts in Ukraine and the Middle East, leading to accelerated demand for new defense technologies such as drones, missile defense systems, and AI. (Source: Reuters)

Our view: *Key Air Show topics will likely revolve around execution rather than order intake, as delayed deliveries continue to impact the delivery skyline. Additionally, the focus on AI is shifting from hype to practical implementation across product design and manufacturing stages. Lastly, we expect possible MRO announcements on capacity expansion and engine licensing. On the defence side, we'll be watching for more partnership announcements between European and US defence primes or defence tech companies, as the focus moves to delivering products at scale and speed.*

Boeing says it will be ready to fund new plane programme by 2030

Boeing CEO Kelly Ortberg said the company has started work on a new airplane design, but it is focused on playing catch-up to deliver products that are years behind schedule. He anticipates Boeing to be in a financial position to launch a new airplane program by 2030, a timeframe that aligns with Airbus's aim to introduce a successor to its A320 model around the same year. While Airbus is actively exploring advanced engine designs like the "open fan" RISE program to achieve significant fuel efficiency improvements, Boeing CEO Kelly Ortberg has expressed a more cautious stance, emphasizing that the initiation of a next-generation plane hinges on the convergence of market readiness, technological advancements, and the company's financial health, stating that airlines weren't clamoring for a new design just yet. (Source: Bloomberg)

Our view: *Two key messages emerge: 1) Boeing will have the financial capacity to*



fund a new program by 2030, indicating clear FCF generation improvement starting H2-26. 2) Boeing appears focused on a baseline scenario with a ducted engine (the article mentions a traditional, enclosed engine), meaning the company isn't endorsing the CFM RISE "open fan" approach for now. This confirms CFM's position as sole engine supplier on the platform could be contested unless RISE yields two different engines or Airbus reverts to the ducted engine option. This theme will likely be developed at the Farnborough Air Show this week, as oil price is another element to consider in the risk/ reward assessment of the open fan.

Boeing focused on production, not new orders at Farnborough Airshow and keeps 20-year forecast for jet demand steady

Boeing's commercial airplane unit is prioritizing increasing and improving aircraft production over announcing new orders, with CEO Stephanie Pope emphasizing the company's strong backlog and demand. Pope stated that the focus at the Farnborough Airshow is to engage with customers and suppliers to understand their challenges and provide product updates, rather than focusing on new deals. The company is studying further production increases for the 737 MAX beyond the recently approved 47 units per month, aiming for 52 units, while also working on certifying the MAX 7, MAX 9, and 777-9. Separately, Boeing maintained its forecast for strong global demand for new commercial aircraft over the next 20 years, projecting 43,625 new jetliner and freighter deliveries from 2026 through 2045, nearly identical to its 2025 outlook. This contrasts with Airbus's slight reduction in its forecast to 42,060 aircraft, citing the Iran war and trade tensions. Boeing anticipates air passenger traffic growth of 2.3% this year, rebounding to 6-7% in 2027 and 5-6% in 2028, and growing 4% annually over the next two decades. (Source: Reuters)

Our view: *The tone is set, with Boeing prioritizing execution over new orders at the Farnborough Air Show. The fact that longer-term ambitions remain unchanged underpins Boeing's confidence in the future of aircraft production, apparently unabated by the war in Iran.*

BAE Systems (Hold, PT: 2,140p)

CEO warns UK defence spending falling well short of what is required

Charles Woodburn, CEO of BAE Systems, has issued a stark warning that UK defence spending "falls well short" of what is required, despite the government's recent announcement of an additional £15bn increase in June. Woodburn described the current global climate as "the most threatening time I've seen," citing Russia's advancements before and during the war in Ukraine, including submarine activities and cyberattacks. He noted that the Ukraine conflict has unfortunately made the proximity of a "hot war in Europe" much more evident. Woodburn highlighted the profound changes in modern warfare, specifically mentioning how Russia and Ukraine have become "incredibly adept" at using drones and counter-drones. He stressed the need for the UK to understand these new dynamics and provide capabilities to counter aggression effectively. BAE Systems announced a £708 million contract extension for the continued development of a next-generation combat aircraft. (Source: Bloomberg)

Our view: *This is relatively neutral for BAE Systems: Charles Woodburn's role is to lobby for more defence spending, with a Defence Industrial Plan (DIP) that has been mostly favourable to Air systems. £8.6bn has been earmarked for the GCAP, which is set to benefit BAE Systems. Still, the extra £15bn remains below the amount the*

industry was longing for, hence obvious capability gaps.

BAE enters uncrewed fighter competition with 'Brontanax'

BAE Systems unveiled Brontanax, a new unmanned fighter jet, at the Farnborough Airshow, marking Britain's entry into the competitive Collaborative Combat Aircraft (CCA) market. Roughly the size of a Hawk trainer, Brontanax is projected to begin flight testing next year and could enter service by 2030, with BAE having invested hundreds of millions of pounds in its development since 2022. Defence Secretary Wes Streeting announced that the UK will adopt Brontanax as its operational concept demonstrator, aiming to get it in the air by 2027. BAE's CEO Charles Woodburn expressed confidence in securing UK orders and interest from other European and Middle Eastern countries. BAE claims Brontanax offers superior stealth, 70% to 80% of a traditional fighter jet's capabilities at under 25% of the cost, potentially around $25 million, and features an open architecture for easy upgrades. This development aligns with Britain's recently announced £300 million investment to launch its sovereign CCA program, named Storm Fighter. (Source: Reuters)

Our view: *This is a positive for BAE Systems as CCA's are becoming a central element of future air combat concepts and the UK's endorsement of Brontanax as its operational demonstrator significantly de-risks the programme. Although revenues from the platform are unlikely to be meaningful before the next decade, BAE has secured a position in a market expected to attract substantial investment across NATO and allied nations. More broadly, the programme complements GCAP and helps preserve sovereign UK combat-air capabilities while creating potential export opportunities. In our view, Brontanax is the result of studies performed at Falcon Works, proving the division's ability to fast track new product developments.*

US House passes $1.15 trillion defense bill despite Iran, Israel concerns

On 22 July, the U.S. House of Representatives narrowly passed its version of the fiscal year 2027 National Defense Authorization Act (NDAA), authorizing an unprecedented $1.15 trillion in military spending. The vote was largely along party lines, with most Republicans in favor and most Democrats opposed, reflecting deep divisions over the massive budget, the ongoing Iran war (which has cost the U.S. $37.5 billion so far), and a provision to expand military technology cooperation with Israel. Republicans argued the spending is vital for military operations in Iran, defense systems, equipment, and troop benefits like 7% raises, while Democrats criticized the hefty Pentagon budget amid cuts to social programs. The bill's fate is uncertain as it faces challenges in the Senate, where Democrats blocked their chamber's version last week, and further complicated by its attachment to the Trump-backed "SAVE America Act" to tighten voting restrictions, which lacks sufficient Senate support. (Source: Reuters)

Our view: *This is supportive for the broader defence sector, although the ultimate budget outcome remains uncertain given Senate opposition. The headline spending level underlines continued bipartisan willingness to sustain elevated US defence investment though focus will be on the final NDAA outcome rather than the House proposal alone.*

GCAP fighter jet timeline 'will not change even if new country joins', engine consortium progresses towards ground-testing powerplant demonstrator

The Global Combat Air Programme (GCAP) fighter jet remains on track for service by 2035, even with potential new country involvement, as confirmed by Marco Zoff,



CEO of the Edgewing joint venture at the Farnborough Airshow. This commitment to the timeline holds firm despite speculation of new partners following the collapse of a rival Franco-German fighter program, which has left European defence alliances uncertain. Canada is reportedly set to become an observer to GCAP, an initial step requiring no financial commitment. The Edgewing venture secured a £4.6 billion contract from Britain, Italy, and Japan earlier in July for the sixth-generation stealth fighter. Japan is particularly keen on the 2035 target due to its F-2 fighters' retirement schedule. A new partner would be a "net positive," helping share costs, and Germany and Saudi Arabia have also shown interest. The consortium for GCAP's powerplant, comprising Avio Aero, IHI Corporation, and Rolls-Royce, is advancing towards ground trials of its engine demonstrator, having completed over 100 subscale component tests. This engine is designed not only for thrust but also to generate the significant electrical and thermal power needed for next-generation sensors and weapon systems. The concept assessment phase for the aircraft is due by the end of 2027. (Source: Reuters, Janes)

Our view: *There could be more details disclosed at the Airbus Business update on a potential GCAP participation, but the message remains clear that the programme is forging ahead, unabated by new joiners' agenda. Japan remains central to the GCAP initiative, driving the development schedule.*

MBDA unveils interceptor to counter mass drone attacks

MBDA is introducing a new Counter Mass Interceptor at the Farnborough Airshow to address the threat posed by mass attacks of low-cost munitions like drones, a vulnerability exposed in conflicts in Ukraine and the Middle East. This system aims to provide European militaries and NATO forces with a sovereign defense capability against saturation attacks, as currently, no such European system exists, forcing reliance on American or Israeli alternatives. The economic challenge of modern warfare, where expensive traditional interceptors engage inexpensive drones, underscores the need for cost-effective solutions. The first interceptor, focused on smaller drones, is slated for availability as early as 2028, with development currently led by MBDA's British teams, and a future, longer-range iteration targeting a broader array of weapons like rockets, gliding bombs, and subsonic missiles, likely to be led by French counterparts. MBDA plans to achieve high-volume production, akin to the automotive industry model, using existing facilities or industrial partners to meet the demand for these mass-producible countermeasures. (Source: Reuters)

Our view: *There's a positive read-across to MBDA partners, as MBDA is actively competing in a very contested market. The interceptor development underscores new requirements for development speed and mass production. Availability of the first interceptor by 2028 is considered a short development time, but the emphasis is now on even shorter development times.*

Defence giants to maintain grip on weapons market despite drone boom

Despite the growing prominence of drone technology and other "affordable mass" systems, a new report predicts that defense giants will maintain their dominance in the weapons market, accounting for over 80% of revenues in 2033. While the market for smaller defense systems is forecast to grow to $17.5 billion by 2033, up from $5 billion last year, the market for more complex and expensive systems is projected to reach $79 billion, underscoring that traditional players delivering major platforms will continue to secure the majority of spending. This sustained grip is attributed to the fact that complex weapons offer more sustainable profits through maintenance and spare parts, and established contractors benefit from long-term



government relationships. The report also forecasts that the European defense equipment market will more than double from approximately €150 billion in 2024 to €380 billion by 2035 due to rearmament efforts. (Source: Bloomberg)

Our view: *The read-across is that partnerships with European primes is the way to go for Defence technology start-ups and US primes in the coming year, making it one of the focal points of the Farnborough Air Show.*

CSG (Buy, PT: €25)

CSG Secures New EUR3 Billion Facility in Debt Restructuring

CSG has successfully secured a new single syndicated facility refinancing totaling €3.06 billion, significantly improving its financial structure by reducing interest rates by 125-150 basis points and extending its senior debt maturity profile to six years. The new facility includes a €717 million Term Loan B due November 2029, an €850 million Term Loan C due six years from closing, and a Revolving Credit Facility comprising two tranches of up to €1.3 billion and $225 million due three years from closing. Despite the increased total facility value, the amount currently drawn remains around €1.7 billion, consistent with the previous structure. CSG also reaffirmed its fiscal year 2026 leverage guidance of less than 1.3x net debt to (LTM) EBITDA. This strategic refinancing is expected to mitigate refinancing concentration risk in 2029. (Source: Bloomberg)

Our view: *This is good news for CSG. This is a pure refinancing of existing debt of €1.7bn, but it consolidates into one syndicate facility, enhances credit limits, extends the maturity period and more importantly reduces the cost of debt by 150-200bps. All else remaining the same, this move should help EPS by 1-2% from FY27.*

CSG to Set Up US Drone Jet Engine Production with Joint Venture

CSG announced plans to invest up to $15 million in establishing serial production capabilities for jet engines in Stevens Point, Wisconsin, to be used in drones, unmanned systems, and other applications. The project, led by Firecrest Aerospace (a joint venture between CSE USA and AviaNera Technologies), will commence within months with an initial phase focusing on assembly, integration, and testing for US customers. Full-scale serial production, engineering, and further product development are slated to begin in 2027. (Source: Bloomberg)

Our view: *This is a welcome development. The JV is between two companies within CSG group. The company will establish the production facility to manufacture propulsion systems from 2027, with further ramp-up in future. They did not disclose the customer to which they will supply, but given the demand for low cost cruise missiles, one-way drones etc in the US we see this as a credible move*

Fincantieri (Buy, PT: €18.5)

Fincantieri strengthens the U212 NFS program with new technologies, advanced services and accelerated delivery schedule

Fincantieri has signed an amendment to its U212 NFS (Near Future Submarine) programme contract with OCCAR, valued at approximately €317 million, expanding its scope of activities for building four next-generation submarines for the Italian Navy. This amendment introduces new technological capabilities, including countermeasure systems developed by WASS, and enhances logistics support for long-term operational efficiency. Notably, it also accelerates the



delivery of the fourth submarine by two years, from 2034 to 2032, enabling the Italian Navy to receive one new submarine annually starting in 2029. This initiative underscores Fincantieri's strategy to bolster its leadership in the underwater domain, integrating shipbuilding expertise with proprietary technologies and advanced combat management systems. (Source: Company)

Our view: *The incremental value from this contract modification is €317m and is driven by more capabilities needed from WASS, logistical support and finally advancement of delivery timeline of the 4th submarine. Overall, financially this should be modest uplift to the group, but should be margin accretive to the Under Water business division which already aims to reach 23% EBITDA margin by 2030.*

Fincantieri to build two multi-function Buoy and Lighthouse Maintenance Vessels for Trinity House

Fincantieri's VARD, secured a contract exceeding €220 million to design and build two multi-function Buoy and Lighthouse Maintenance Vessels for Trinity House, the General Lighthouse Authority for England, Wales, the Channel Islands, and Gibraltar. These new vessels, based on the VARD 9 601 design, are slated for delivery in Q2 and Q4 2029 from a VARD yard in Norway, the vessels will feature hybrid propulsion systems and battery energy storage for reduced fuel consumption and zero-emission operations, with future adaptability for conversion to methanol fuel. They will also incorporate modern digital and cybersecurity capabilities. The contract includes a training partnership involving VARD, Trinity House, and Vard Marine to promote knowledge exchange and skill development. (Source: Company)

Our view: *This is a positive announcement and although the financial impact will be small compared to its backlog, it remains a positive demonstration of VARD's competitiveness in specialized vessels. The contract supports workload visibility into 2029 and also demonstrates that Fincantieri continues to secure public-sector contracts alongside its naval business, helping smooth cyclicality across the portfolio.*

Portugal and Italy Partner on Three New Frigates for Portuguese Navy

Portugal's Ministry of National Defence announced an agreement with Italy for the procurement of three new-generation FREMM EVO frigates for the Portuguese Navy, in an investment valued at approximately €3.9 billion, to be built by Fincantieri, with deliveries scheduled between 2029 and 2030. This acquisition, part of the broader €5.8 billion SAFE investment for military modernization across naval, land, air, and space domains, includes maintenance, technology transfer, and support for the ships' operational life of no less than 30 years, aiming to adapt the Portuguese Armed Forces to new geopolitical realities and threats, while fostering cooperation with national defense industries and revitalizing the Alfeite Arsenal. (Source: Naval News)

Our view: *This is quite positive news for Fincantieri. This deal was expected for several months now, but was dependent on EU SAFE funds coming through for Portugal. This forms part of Fincantieri's €5bn order commitment announcement by August 2026, which is encouraging. The articles suggest that the value of the deal could be €3-3.9bn, but we believe the actual value for Fincantieri could be slightly below this (anywhere between €2.5 to €3bn).*

Hensoldt (Buy, PT: €101)

Hensoldt Joins Boeing's MQ-28 Ghost BAT Industry Team

Hensoldt joined Boeing's German MQ-28 Ghost Bat Industry Team, signing a Memorandum of Understanding at the Farnborough International Airshow to provide sensor systems, mission system components, and integration services. Hensoldt will collaborate with existing team members Rheinmetall, Diehl Defence, and Rohde & Schwarz to support Boeing's proposal for collaborative combat aircraft (CCA) for the German Air Force. (Source: Bloomberg)

Our view: *This is a positive strategic development for Hensoldt. While the MoU carries no immediate financial value, it increases Hensoldt's visibility as a potential supplier of sensors and mission systems should Germany pursue the MQ-28 route. Participation in Boeing's German MQ-28 industrial team positions the company within CCA, one of the most active growth areas of defence procurement currently. Hensoldt 's presence was needed, as its ESG division will also have to make MQ-28 systems compatible with German systems.*

Germany to take direct stakes in defence startups under new strategy

Germany's government announced on 22 July the creation of an investment fund to take direct stakes in defense startups, part of a broader strategy to support new businesses and rebuild defense capacity amid geopolitical shifts. This new vehicle for direct federal investments aims to bolster Germany's security and defense readiness, particularly given the role of startups like Helsing and ARX Robotics in providing fast-deployable technology for the battlefield. While the fund's value remains unannounced, German Economy Minister Katherina Reiche emphasized that major state orders could secure production and business deals for startups without upfront capital investment. This initiative is part of a wider startup strategy to improve access to finance, attract skilled workers, and reduce bureaucracy, addressing Germany's challenge in scaling startups into growth companies, as evidenced by its venture capital investment of €7.2 billion in 2025, which significantly lags behind the U.S. and Britain. Germany also plans to extend its Future Fund, a government-backed venture capital program, beyond 2030. (Source: Reuters)

Our view: *This is positive for the German defence ecosystem. While the initiative is primarily targeted at start-ups rather than listed primes, it should accelerate innovation and expand the domestic defence industrial base. However, a better-funded startup ecosystem could increasingly compete for defence budgets that have historically flowed almost exclusively to established primes, particularly in drones, sensors, software and autonomous systems. Nonetheless, the announcement further illustrates Germany's determination to rebuild defence capacity over the coming decade.*

Leonardo (Buy, PT: €70)

Poland commits $745 million to EU's IRIS^2 constellation project

Poland has committed approximately $745 million to the European Union's IRIS^2 multi-orbit satellite internet constellation, financing six medium Earth orbit (MEO) and six low Earth orbit (LEO) satellites. This investment aims to ensure strategic communications security during conflicts and crises, provide additional services for Poland, and create business opportunities for over 400 Polish space companies. This development follows Poland's selection to host the first European Space Agency (ESA) center in an eastern flank member state and comes alongside increased national spending on space programs, including a €731 million



contribution to ESA's budget from 2026-2028 and a new state-run fund worth over 500 million zloty for prospective space companies. (Source: SpaceNews)

Our view: *This is positive for the European space sector, as Poland chooses to go for the European solution rather than a constellation of its own. This thus bolsters political support behind IRIS2. Poland's commitment increases programme visibility and strengthens the likelihood of follow-on investments from other member states.*

Indonesia confirms 12-unit order for M-346F light fighter

Indonesia finalized an order for 12 Leonardo M-346F light fighter aircraft, with deliveries of the Block 20 standard jets, equipped with an active electronically scanned array radar, Link 16 data-link, electronic countermeasures, new weapon systems, and improved cockpit displays, scheduled to begin in 2030. The deal, valued at nearly €1 billion, includes the localization of support, maintenance, overhaul, and training services through PTE System Solutions Indonesia. This acquisition makes Indonesia the 23rd operator of the M-346, and also follows a separate letter of intent from Indonesia to acquire AW149 helicopters for its navy. (Source: FlightGlobal)

Our view: *Indonesia confirmed plans to acquire the Leonardo M-346 F (Fighter) Block 20 aircraft to replace its aging fleet of British-made BAE Systems Hawk Mk 109/209 multi-role jets. This move was officially announced during the Singapore Airshow on February 4, 2026.The quantity of 12 is the most striking element, in our view, as, some sources indicated Indonesia was considering an order for 24 M-346 F Block 20s in total, and later reports mentioned the possibility of acquiring 18 (later increased to 36) M-346Fs. It's important to note that previously, in 2011, Indonesia had chosen the KAI T-50 Golden Eagle to replace its BAE Hawk Mk 53 trainer and OV-10 Bronco attack aircraft, ordering 16 T-50s (designated T-50i) and later an additional six in 2021. However, this new selection of the M-346 F Block 20 is specifically for the recapitalization of the remaining Hawk Mk 109/209 fleet for advanced training and light combat operations.*

MTU Aero Engines (Buy, PT: €428)

Pratt & Whitney looks to tweak business model, with more money upon delivery

RTX CEO Chris Calio announced on July 23 that Pratt & Whitney (P&W) plans to significantly alter its business model for next-generation turbofans, moving away from relying heavily on aftermarket sales to generate more revenue upfront. This shift is prompted by the current strategy of selling engines at deep discounts, sometimes even at a loss, and recouping profits through maintenance and service contracts over decades, a model that accounted for approximately 60% of P&W's 2023 sales. Calio noted that investing heavily upfront and then depending on 4-6 shop visits over 25 years is unsustainable, especially after costly recalls like the ongoing PW1000G geared turbofan (GTF) program due to durability issues. This new approach will target engines for new narrowbody jets from Airbus and Boeing expected in the late 2030s, with P&W aiming to "smooth out some of those cash flows and some of that investment" to create a more balanced revenue stream. Additional comments included P1) W1100 AOGs are down again sequentially and down 25% year to date. AOGs should be trending lower throughout the second half of the year thanks to MRO output, which was up over 40% year-over-year, supported by a 23% reduction in turnaround time. 2) Powder metal-related compensation was approximately $150 million in Q2 3) As for Pratt FY26 guidance,

within commercial aftermarket, sales are to grow low double digits across the company this year, up from prior expectation of high single digits, driven by the strength at Pratt. 4) V2500 shop visits are right in line where expectations, with content strong and low retirement activity, so V2500 is still seen as very strong contributor to the overall Pratt aftermarket, because it is still a relatively young fleet. 5) Pratt also declared it has low double-digit margins in the GTF aftermarket. (Source: FlightGlobal)

Our view: *Pratt's messages are consistent with MTU, and the powder compensation paid by Pratt in Q2 could translate into €45-50m for MTU. As for the change of business model on the next generation aircraft, this seems to align well with Airbus' intentions but needs to be endorsed across the industry, or the initiative could fail.*

MTU Aero Engines secures $500 million of orders at Farnborough

MTU Aero Engines reported a highly successful 2026 Farnborough International Airshow, securing new orders totalling $500 million. The company's diverse engine program portfolio contributed to successes across all segments, particularly in the narrow-body and regional aircraft sector, driven by orders and letters of intent for the Pratt & Whitney GTF engine family, in which MTU Aero holds a 15% to 18% stake depending on the model. Concurrently, MTU Aero announced a new five-year exclusive contract with Brazil's state-controlled energy company, Petroleo Brasileiro SA (Petrobras), to provide comprehensive MRO services. These services, covering a fleet of ten LM6000TM engines and three associated hot sections, will be performed at its MTU Maintenance Berlin-Brandenburg facility in Germany, with field services provided by MTU Maintenance do Brasil. This expansion of operations follows the company's move to a larger location in São Paulo, Brazil, in 2025. (Source: Bloomberg)

Our view: *This is a positive outcome from Farnborough and underlines the breadth of MTU's exposure across both OEM and aftermarket activities. The $500m order intake is supportive of future revenue growth, particularly given MTU's participation in the GTF program and indicates that confidence in the GTF platform continues to recover following the durability issues and fleet groundings of recent years. The Petrobras contract is also noteworthy as it strengthens the company's industrial gas turbine MRO activities and provides recurring service revenues over the next five years. The company recently extended its gas turbine MRO capacity in Berlin and the activity is seen as margin accretive to other MRO activities.*

Pratt & Whitney expands PW1900G production with first Middletown-built engine

Pratt & Whitney (P&W) is expanding its geared turbofan (GTF) engine production by initiating assembly of the PW1900G in Middletown, Connecticut, with the first delivery to Embraer slated for this month. This move aims to boost output for the PW1900G, used in Embraer 190-E2s and 195-E2s, and the related PW1500G for the Airbus A220, which saw a 20% production increase year-on-year in 2025 at P&W's Mirabel facility. The Middletown site also produces the PW1100G for A320neo-family jets, and this expansion helps accommodate accelerated A220 production targets of 13 per month by 2028, up from 93 deliveries in 2025. Additionally, P&W acquired Air Innovations, gaining AI-powered borescope inspection software that significantly reduces inspection times for engines like the V2500 and is being evaluated for GTF and F135 engines. (Source: FlightGlobal)

Our view: *OEM production increases and the AI-powered borescope inspection company acquisition are two concrete measures by Pratt & Whitney to improve OEM*

engine delivery rates and enhance the MRO experience for airlines. We see these as moves in the right direction for Pratt and its partner MTU.

Airlines and lessors sign major deals with CFM and Pratt & Whiteny

Beyond aircrafts, Farnborough saw a slew of engine deals too with IndiGo signing a preliminary agreement with CFM International to acquire over 1,000 LEAP-1A engines, a significant deal following IndiGo's 2023 order for 500 Airbus A320neo-family aircraft. This record order for CFM aims to address industry-wide congestion in engine repairs. The agreement also includes IndiGo establishing its own maintenance, repair, and overhaul (MRO) center and a parts supply deal, a strategic move by the airline to manage scarce repair capacity. While CFM reports reducing grounded planes due to LEAP engine issues to "near zero," the engine industry continues to face disruptions from long maintenance waiting times and spare parts shortages. British Airways has selected Pratt & Whitney PW1100 engines for 33 incoming Airbus A320neo-family jets with options for 30 more, a new customer for P&W's geared-turbofan program with deliveries starting in 2027 and including a 12-year maintenance agreement. Additionally, BOC Aviation has placed its "largest-ever engine transaction" with orders and options for up to 300 CFM International LEAP engines (200 LEAP-1As and 100 LEAP-1Bs) to power a significant portion of its 322 on-order Airbus and Boeing aircraft. Lessor Jackson Square Aviation also selected Pratt & Whitney GTF engines for an undisclosed number of Airbus A320neo-family aircraft and separately ordered CFM International LEAP-1As as part of a "dual-engine approach." Furthermore, AerCap and Air France Industries KLM Engineering & Maintenance plan a 50:50 joint venture to lease approximately 40 new CFM International LEAP spare engines, with deliveries through 2032 and the first engines available in early 2027, addressing the growing demand for spare engine capacity. (Source: Cirium, Reuters)

Our view: *For engine makers, the emphasis by airlines is on securing capacity and prevent engine shortages during maintenance episode. The flurry of orders is also illustrative of a number of Airbus platforms, with undecided engine choices finally coming to decision time.*

Rolls-Royce (Buy, PT: 1,325p)

New UK Defence Secretary refuses to commit to 3% defence spending ambition

UK Defence Secretary Wes Streeting declined to endorse a target of raising defence spending to 3% of GDP by 2030, arguing that decisions on future spending levels are for Chancellor John Healey rather than the defence secretary. Speaking at the Farnborough International Airshow, Streeting insisted he was not seeking to run defence "on the cheap" and said he would instead make the strongest possible case to the Treasury for greater military investment while demonstrating that existing funds are being used efficiently. The stance highlights ongoing tensions over defence funding after Healey previously resigned as defence secretary over concerns that planned spending increases were insufficient; current plans would take defence spending to around 2.7% of GDP by 2030, while the government remains committed to meeting NATO's broader goal of 3.5% by 2035. Streeting also emphasized defence modernisation, procurement reform, and new technologies such as autonomous fighter drones as part of improving military capability and value for money. (Source: Bloomberg)

Our view: *We see this as a mild negative versus expectations created by the recent*



appointment of former Defence Secretary John Healey as Chancellor. While Streeting reiterated support for the NATO-aligned 3.5% of GDP objective by 2035, his refusal to endorse a 3% target by 2030 reduces the likelihood of an accelerated uplift in UK defence spending. Current plans still imply spending growth, and the focus now shifts to the Treasury and the upcoming spending review.

Rolls-Royce hits milestone for new British combat jet engine

Rolls-Royce has announced significant progress in propulsion for the UK's future combat air effort, particularly for the Global Combat Air Programme (GCAP). Utilizing its Orpheus demonstrator, Rolls-Royce is accelerating the design of the GCAP engine demonstrator, which is being developed by a consortium including Japan's IHI and Italy's Avio Aero. This rapid learning model from Orpheus aims to compress traditional timelines and de-risk future aircraft development by advancing power and propulsion technologies towards ground-testing of the engine demonstrator. For the flying combat air demonstrator, Rolls-Royce is providing two modified EJ200 engines (used in the Typhoon), with these advancements contributing to the UK's sovereign combat air capability and ensuring its leadership in air power innovation. (Source: UK Defence Journal)

Our view: *This is positive and reinforces Rolls-Royce's central role within GCAP. Progress through the Orpheus programme reduces technological risk and keeps the consortium on track for upcoming demonstrator milestones.*

Rolls-Royce needs UK decision on narrowbody engine soon, expects Airbus decision on new A350 version within a year

Rolls-Royce needs a swift decision from the UK government on co-investment for a new narrowbody aircraft engine, which CEO Tufan Erginbilgic stated would be a significant win for the UK in terms of advanced manufacturing, jobs, and exports, potentially creating 40,000 British jobs. Although Rolls-Royce prefers to develop the engine in the UK, discussions are also underway with other interested governments, including Germany and the United States, as Boeing and Airbus are expected to make engine decisions for their new jets within two years. Erginbilgic remains hopeful for government support despite recent leadership changes, citing a positive relationship with the new finance minister. This initiative aims to re-enter the narrowbody market, which Rolls-Royce has been excluded from for 15 years, while currently focusing on the larger widebody market, where it is the sole provider for Airbus's A350 jets. Separately, Rolls-Royce anticipates Airbus will finalize plans for an extended A350 version within a year, which would likely require a new, larger turbine engine that would take six or seven years to develop, capitalizing on growing demand for larger aircraft, despite past criticisms regarding the Trent XWB engine's performance in hot climates and a recent dispute with United Airlines. (Source: Reuters, Bloomberg)

Our view: *Both statements collectively point to a period of critical strategic decisions for Rolls-Royce. Longer-term, the narrowbody decision could mark a major re-entry into a highly competitive market, while the A350 decision would solidify and potentially expand Rolls-Royce's dominant position in the widebody sector. Shorter-term, however, there are R&D funding implications, as the cost of developing these two distinct engines could be cumulative.*

Safran (Buy, PT: €365)

CFM to invest $2 billion to speed repairs, hails design review milestone



as RISE arises

CFM announced a $2 billion investment over five years to combat engine-industry bottlenecks by accelerating maintenance and repairs, improving supplier deliveries, and bolstering spares inventory. This move comes as unexpected wear and tear in newer, fuel-efficient jet engines has led to an industry-wide repair crisis, grounding aircraft. Despite some disputes with airlines over prices, CFM maintains a "near-zero" level of engine-driven groundings. The investment also positions CFM for the upcoming Farnborough Airshow, where it may secure a deal with IndiGo for LEAP engines to power 500 Airbus jets, potentially including an MRO shop. However, talks with Turkish Airlines regarding a deal for 150 Boeing 737 MAX jets are still ongoing, with the airline seeking enhanced access to CFM's top-tier support network. In addition, CFM's RISE open-fan engine demonstrator has passed its preliminary design review, paving the way for ground tests later this decade and a flight demonstrator on an Airbus A380 around 2029, with claims of over 50% less dust ingestion for improved durability. (Source: Reuters, FlightGlobal)

Our view: *This prefigures some announcements CFM will make at the Farnborough Air Show, confirming their apparent market leadership over the GTF. Overall, this reads as a positive for CFM, and thus for Safran.*

Paris and Berlin scale back the MGCS project to focus solely on collaborative combat, Macron proposes co-production of the SAMP/T NG air defense system to Germany

The Franco-German Defense and Security Council (CFADS) meeting on July 17th revealed significant shifts in cooperative defense projects, notably the abandonment of the New Generation Fighter (NGF) within the Future Combat Air System (SCAF). Consequently, cooperation on NGF engines between Safran and MTU has also ceased, impacting Germany's aerospace ambitions. The SCAF initiative is now primarily focused on defining a European standard for collaborative combat and maintaining the "combat cloud" component, despite the dominance of the US F-35 in European skies and decisions by countries like Denmark, the Netherlands, and Germany to procure US-made Collaborative Combat Aircraft (CCA). Similarly, the Main Ground Combat System (MGCS) project, launched in 2017, is also being scaled back to collaborative combat within a "combat cloud" framework. This reduction follows industrial disagreements and delays after Rheinmetall's integration and Germany's initiation of the Leopard 2AX development as an interim solution, which compelled France to consider a replacement for its Leclerc tanks by 2037/38 with the "CAPINT." In contrast, regarding air defense, France, through President Macron, is pushing for European sovereignty and co-production of the SAMP/T NG missile system, specifically the ASTER 30 B1NT interceptors, with Germany and Italy, even though the CFADS conclusions only broadly mention exploring cooperation on sovereign European ballistic missile defense capabilities and the European Sky Shield Initiative (ESSI) currently favors non-European systems like the IRIS-T SLM, Arrow-3, and Patriot. (Source: La Tribune)

Our view: *This spells the end of both SCAF and MGCS, as widely expected. Safran and MTU will likely incur costs from engine development, having hired engineers for the SCAF engine program. For MGCS, the Leopard 2AX and French CAPINT initiatives illustrate efforts to supplement the platform. The combat cloud framework development largely looks as a consolation prize, with no clear indication on the financial benefits at this stage. As for the SAMP/T NG co-production, it would imply Germany buys into the programme, running somewhat counter to ambitions to grow*

Patriot and Iris T exposure.

Thales (Hold, PT: €283)

Thales forms a strategic partnership with Destinus to develop new protection and strike capabilities

Destinus has announced a strategic partnership with Thales to develop new solutions in anti-drone warfare, long-range strike, and integrated air defense. This collaboration, building on an earlier agreement from October, aims to integrate interceptor systems, long-range effectors, and radar technologies for a layered European air defense architecture, with a focus on large-scale joint production. Thales will contribute its expertise in air defense, artificial intelligence, and industrial production, particularly by supplying key subsystems like warheads for Destinus's interception systems and long-range effectors, ensuring NATO compliance. The partnership will concentrate specifically on the Hornet interceptor drone, with joint production planned at a qualified industrial site, and Thales ensuring its interoperability with its radars, such as the GM200, and anti-drone systems. Additionally, the collaboration will extend to developing long-range effectors launchable from tactical transport aircraft, a capability of interest to the French Air and Space Force for its A400M Atlas fleet, and creating ground-based interception capabilities compatible with future NATO Integrated Air and Missile Defense (IAMD) architectures. (Source: La Tribune)

Our view: *This is seen as a positive for Thales, as the partnership appears to strike the right balance between Destinus and Thales' capabilities: Destinus brings a groundbreaking, ambitious platform to the table. Thales, on the other hand, is a global leader in complex systems integration, particularly in defence, aerospace, and security. By partnering with Thales, Destinus gains access to proven, high-technology components and subsystems, as well as the deep engineering and integration expertise necessary to mature their innovative platform. This de-risks their ambitious project and accelerates the path from prototype to operational capability.*

Thales announces deal to supply optronics vision systems to Germany

Thales announced a framework agreement for the supply of optronic vision systems, including XTRAIM thermal weapon sights and night-vision systems, to German forces as part of a Rheinmetall-led modernization program. Deliveries are set to commence in 2027, with Thales aiming to supply "several hundred units per month" in the mid-four-figure price range, which would mean about €4,000 to €6,000 each, though specific financial details beyond this estimated per-unit cost were not disclosed. (Source: Reuters)

Our view: *While Thales has made a significant win with its XTRAIM and night-vision systems for the Rheinmetall-led program, Hensoldt remains a dominant force in the broader German military optronics market, particularly for night vision goggles and platform-specific sensors. The German defence market often sees competition between these major players, and it's common for different companies to secure contracts for various segments of optronic equipment.*

TKMS (Buy, PT: €110)

TKMS says it is no longer interested in buying GNYK

Following intensive negotiations, TKMS has withdrawn from discussions regarding the acquisition of neighboring shipyard German Naval Yards (GNYK).

TKMS CEO Oliver Burkhard stated that while acquiring GNYK would have been a "nice option, not a must," the company could not agree on the economic terms with GNYK's owner. Consequently, the non-binding offer has been retracted. Burkhard cited that after a confirmatory due diligence, TKMS saw no necessity for the acquisition under the given parameters and conditions, affirming that their existing and future order volumes could be reliably met with their current Kiel and Wismar facilities. The company will now pursue other options in Kiel to enhance logistical flexibility, making Rheinmetall the only bidder currently in the running to purchase GNYK. (Source: Stern, Reuters)

Our view: This is clearly a positive development for TKMS and removes the only small concern we had with the stock. GNYK was not needed from a shipbuilding capacity perspective, as TKMS will be building the MEKO 200s for Germany in a private shipyard in Bremerhaven. We believed the need for GNYK was dependent on F-126 program continuation, but with recent F-126 cancellation this pull back announcement was only a matter of time.

From our stable

Below, we share links to some of our most recent and important publications on individual companies and the sector, for ease of reference.

Our recent reports

TKMS: Q3 FY26 preview and what next? (23 July 2026)

Thales: Better than expected H1-26 results, but DIS disappoints (23 July 2026)

Dassault Aviation: Better-than-expected H1-26 results, with Falcon orders finally bouncing (22 July 2026)

Airbus: A mid-term guidance, a €5bn buyback and a flight plan beyond 2029 (22 July 2026)

Theon International: H1 26 preview - Accretive deals... elevated leverage (20 July 2026)

CSG: Growing long-term concerns (16 July 2026)

Fincantieri: H1 preview and Underwater focus (16 July 2026)

Exosens: H1 26 preview - Steady (9 July 2026)

TKMS: Canada Submarine Deal Win (6 July 2026)

UK Defence budget: Defence Secretary resignation bad omen for UK defence budget (11 June 2026)

Safran: Key take-aways from defence site visit (10 June 2026)

Hensoldt: Cash Conversion Up, Momentum Strong (1 June 2026)

CSG: Some relief, but risks persist (22 May 2026)

CSG: Q1 26 results - our first take (20 May 2026)

CSG: Q1 26 preview - soft start (14 May 2026)

European Defence: Some thoughts on current European defence valuation levels (12 May 2026)

Airbus: Feedback from roadshow with CFO (12 May 2026)

TKMS: Encouraging H1 26 results (12 May 2026)

Fincantieri: Post Q1 26 - Short term Naval weakness (12 May 2026)

Sector/thematic reports

Aerospace and Defence: European A&D – 2026 outlook (13 January 2026)

European A&D – 2025 outlook (17 December 2024)

Flight quarters: Q1 24 – Back to the top (22 January 2024)

European A&D – 2024 outlook (8 December 2023)

European Defence: Lessons from Ukraine(12 April 2022)

Commercial Aerospace: No (jet)lag in competition (24 June 2021)

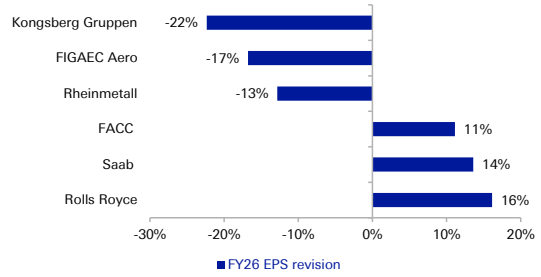
Aerospace & Defence: The Time is Now – Initiating on EU A&D with a constructive stance (10 February 2021)

EPS estimate revisions

EPS estimate revisions for European A&D stocks

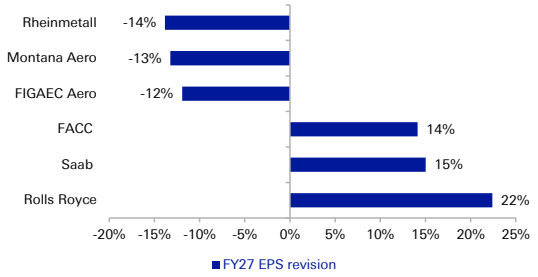
Below, we provide the top three upward and top three downward revisions to consensus EPS expectations for the European Aerospace & Defence names since the start of 2026.

Figure 2: FY26E EPS change



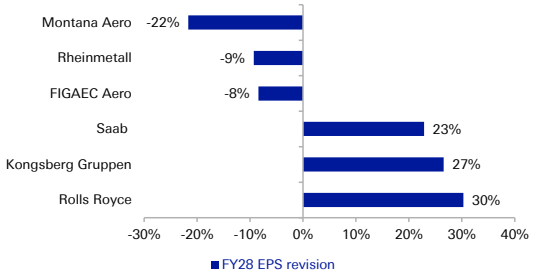
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 3: FY27E EPS change



Source : Deutsche Bank, Bloomberg Finance LP

Figure 4: FY28E EPS change

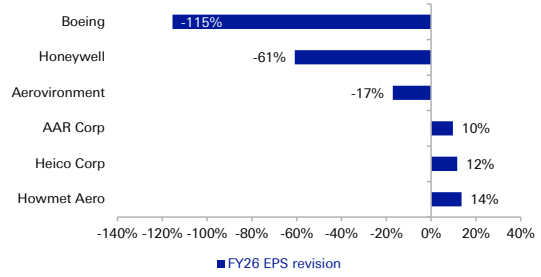


Source : Deutsche Bank, Bloomberg Finance LP

EPS estimate revisions for US A&D stocks

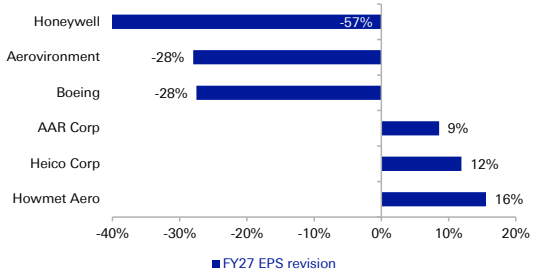
Below, we provide the top three upward and top three downward revisions to consensus EPS expectations for the US Aerospace names since the start of 2026.

Figure 5: FY26E EPS change



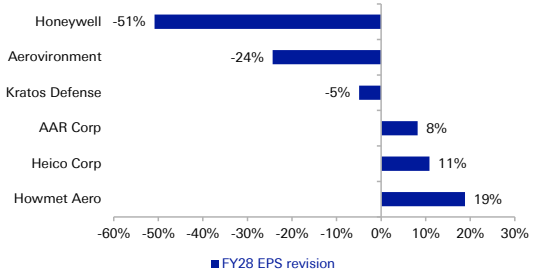
Source : Deutsche Bank, Bloomberg Finance LP

Figure 6: FY27E EPS change



Source : Deutsche Bank, Bloomberg Finance LP

Figure 7: FY28E EPS change

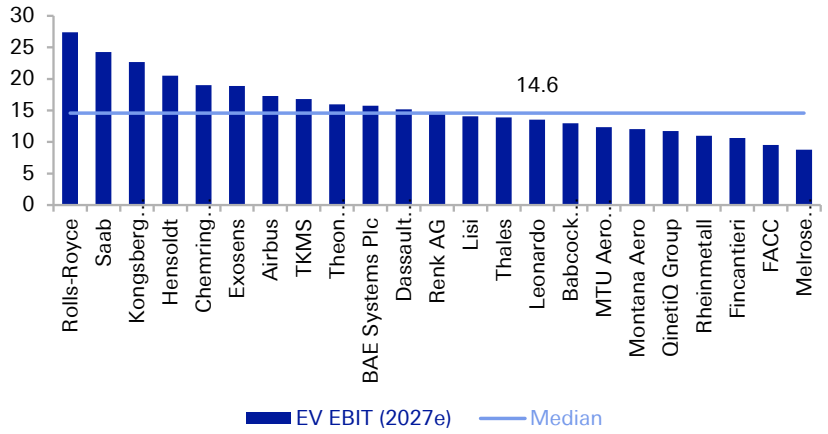


Source : Deutsche Bank, Bloomberg Finance LP

A&D stock trading multiples

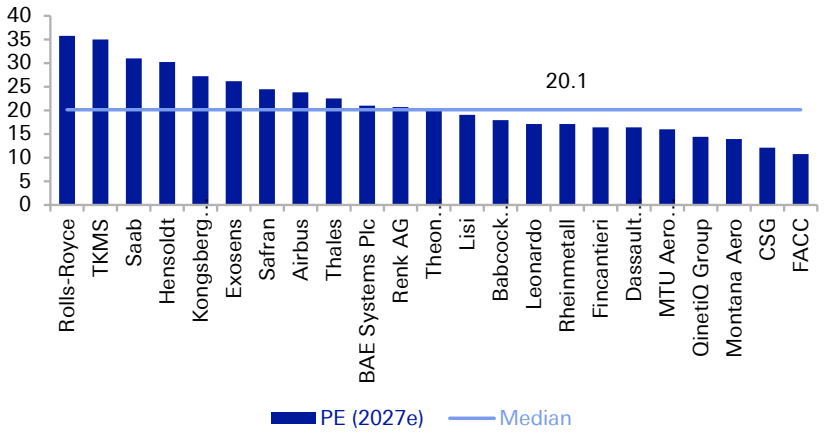
Europe A&D trading multiples

Figure 8: EV/EBIT multiples (FY27E)



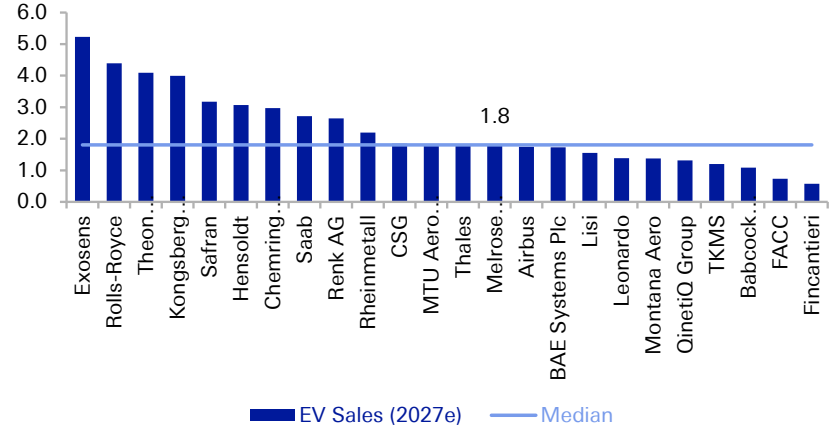
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 9: P/E multiples (FY27E)



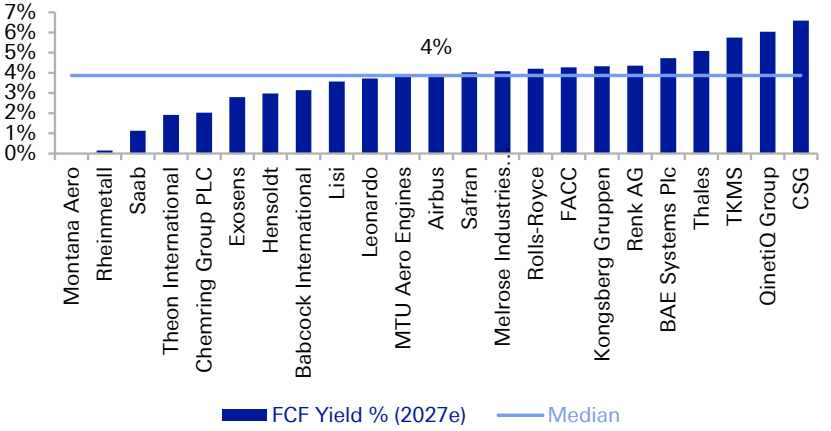
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 10: EV/sales multiples (FY27E)



Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

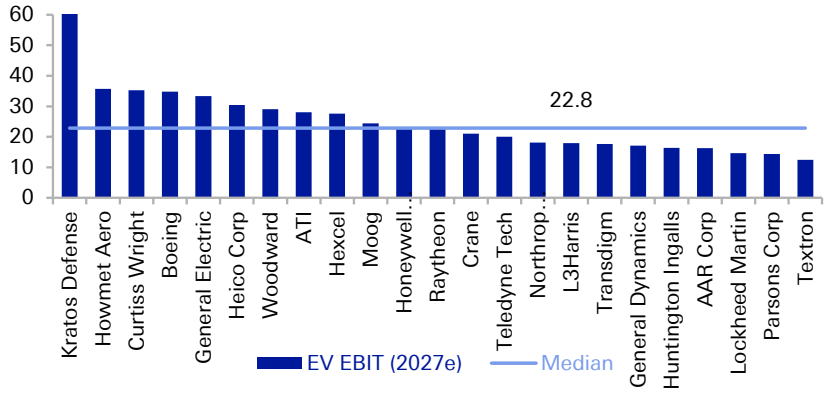
Figure 11: FCF yield % (FY27E)



Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

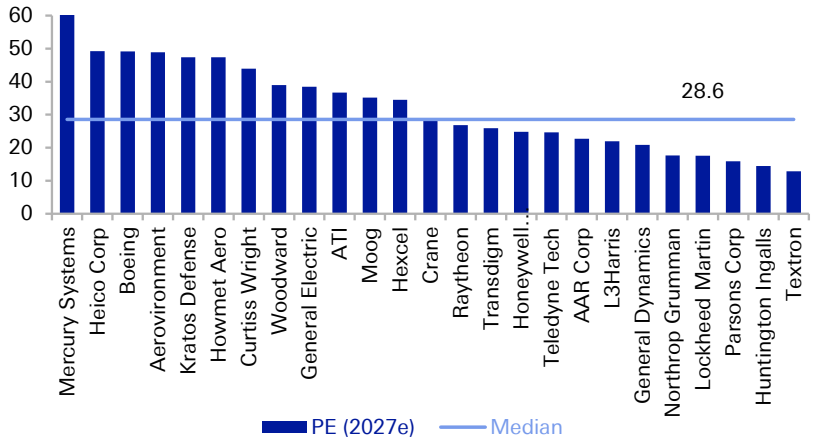
US A&D trading multiples

Figure 12: EV/EBIT multiples (FY27E)



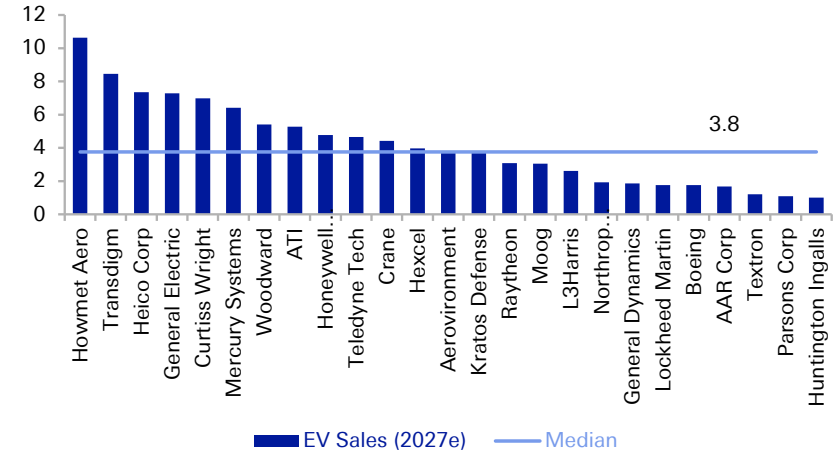
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 13: P/E multiples (FY27E)



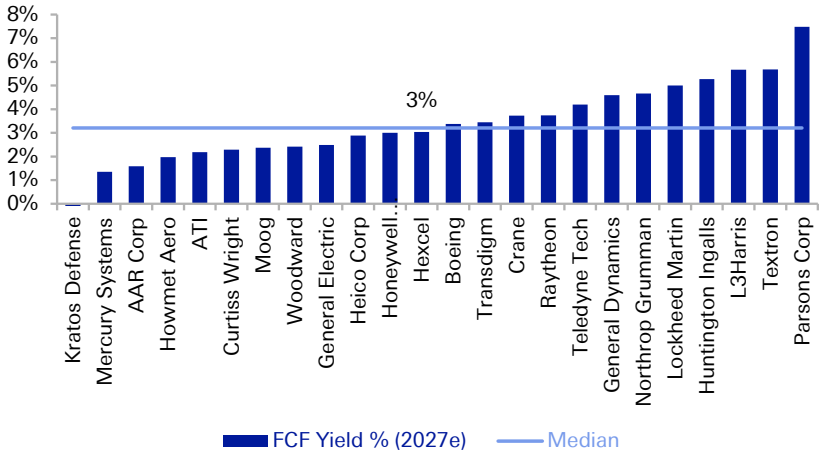
Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

Figure 14: EV/sales multiples (FY27E)



Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

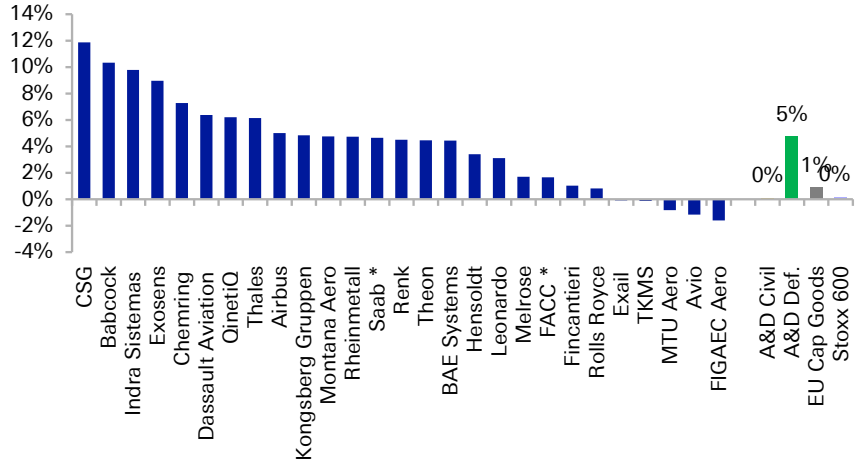
Figure 15: FCF yield % (FY27E)



Source : Deutsche Bank, Bloomberg Finance LP for non-covered companies

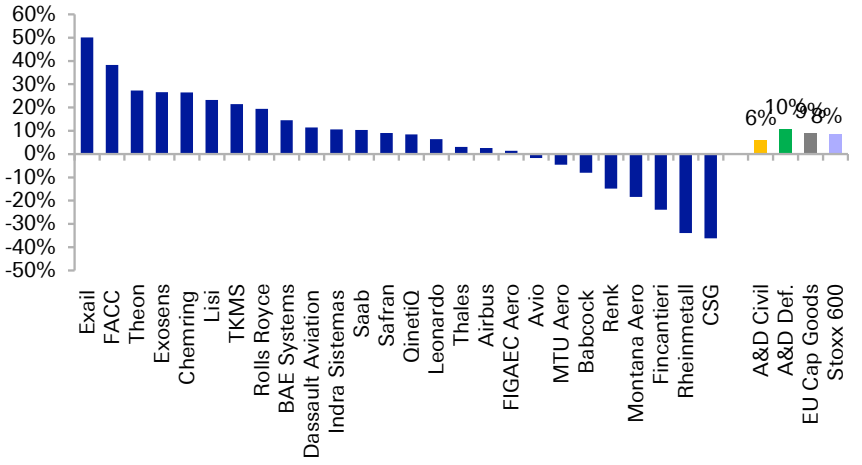
A&D share price performance

Figure 16: Europe A&D – last week's performance



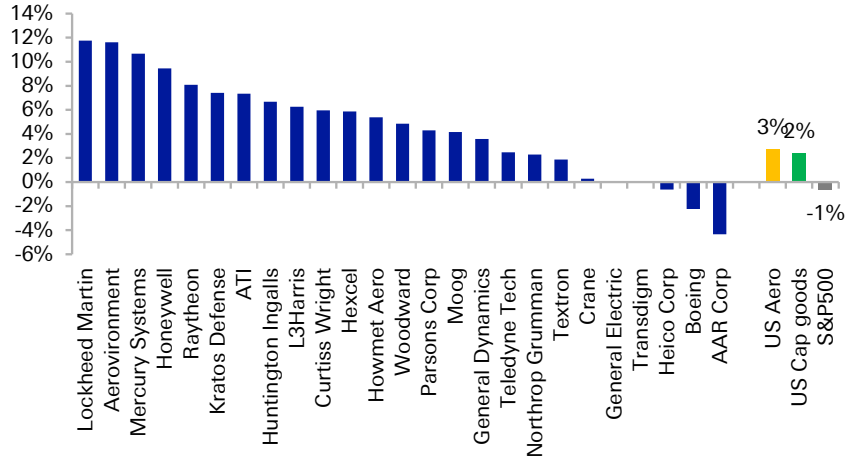
Source : Deutsche Bank, Bloomberg Finance LP

Figure 17: Europe A&D – YTD 2026 performance



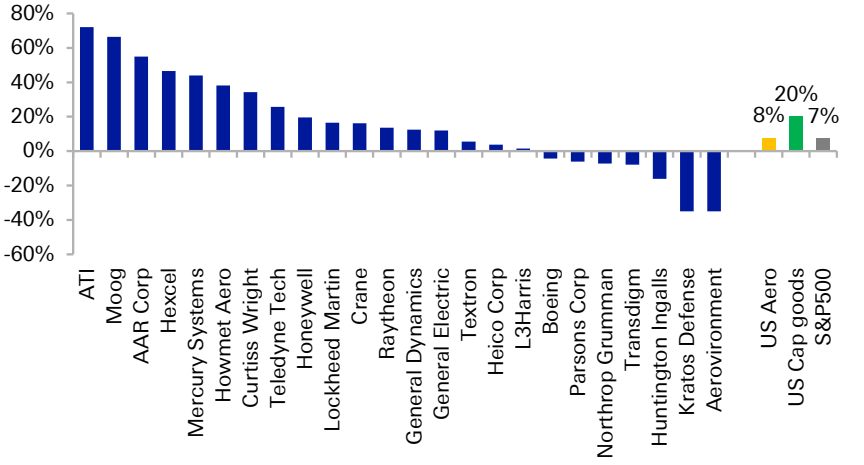
Source : Deutsche Bank, Bloomberg Finance LP

Figure 18: US A&D – last week's performance



Source : Deutsche Bank, Bloomberg Finance LP

Figure 19: US A&D – YTD 2026 performance



Source : Deutsche Bank, Bloomberg Finance LP

A&D sector valuation

Valuation table – listed major European A&D companies

Figure 20: European A&D sector valuation snapshot

Company Name	Lead Analyst	Currency	Current	Target	Upside/	Rating	EBIT Margin (%)			EV/Sales			EV/EBIT			PE			Dividend yield			FCF yield			FCF Conversion		
24/Jul/26			Price	Price	downside		2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028
Airbus	Christophe Menard	EUR	204.1	232.0	14%	Buy	9.6%	10.1%	11.1%	1.9	1.7	1.5	20.2	17.3	13.4	27.2	23.8	18.7	1.7%	2.0%	2.7%	2.8%	3.9%	5.0%	59%	70%	71%
Safran	Christophe Menard	EUR	324.3	365.0	13%	Buy	17.3%	17.9%	18.3%	3.6	3.2	2.9	20.8	17.8	16.0	31.8	24.5	22.0	1.4%	1.8%	2.0%	3.4%	4.0%	4.2%	73%	76%	72%
MTU Aero Engines	Christophe Menard	EUR	338.9	428.0	26%	Buy	14.4%	14.9%	15.3%	2.1	1.8	1.6	14.4	12.3	10.5	18.7	16.0	13.9	1.3%	1.9%	2.9%	2.9%	3.9%	4.9%	39%	45%	50%
Rolls-Royce	Christophe Menard	GBP	1,376.8	1,325.0	-4%	Buy	15.4%	16.0%	16.4%	5.0	4.4	3.9	32.5	27.4	23.7	41.5	35.7	31.8	0.7%	0.8%	0.9%	3.3%	4.2%	4.4%	111%	122%	115%
Melrose Industries PLC	Richard Paige	GBP	473.7	570.0	20%	Hold	18.9%	20.5%	21.9%	2.0	1.8	1.6	10.4	8.8	7.4	12.5	10.3	8.7	1.8%	2.1%	2.5%	3.4%	4.1%	5.8%	27%	28%	34%
Lisi	*Not covered*	EUR	65.2	-	-	-	10.4%	11.0%	11.4%	1.7	1.5	1.4	16.3	14.1	12.4	23.7	19.1	16.8	0.9%	1.1%	1.2%	2.4%	3.6%	4.3%	36%	47%	50%
FACC	*Not covered*	EUR	15.9	-	-	-	6.0%	7.7%	7.9%	0.8	0.7	0.7	13.6	9.5	8.8	15.9	10.7	9.4	1.1%	2.0%	2.2%	5.0%	4.3%	6.0%	55%	33%	43%
Avio	*Not covered*	EUR	28.8	-	-	-	2.4%	1.8%	2.3%	1.3	1.2	1.1	54.5	65.4	45.4	99.4	107.6	88.7	0.4%	0.4%	0.5%				0%	0%	
Montana Aero	*Not covered*	CHF	23.1	-	-	-	9.0%	11.4%	11.9%	1.5	1.4	1.3	16.8	12.1	10.8	21.1	13.9	12.5	1.1%	2.0%							
FIGAEC Aero	*Not covered*	EUR	11.0	-	-	-	6.8%	7.5%	9.0%	1.6	1.4	1.3	23.1	18.7	14.1	42.6	24.0	14.0		0.0%		0.3%	2.6%	5.1%	5%	31%	46%
Civil median							**9.3%**	**10.6%**	**11.4%**	**1.8**	**1.7**	**1.5**	**20.5**	**17.5**	**13.4**	**29.5**	**23.9**	**16.8**	**1.1%**	**1.5%**	**2.0%**	**3.3%**	**3.9%**	**5.0%**	**47%**	**39%**	**50%**
BAE Systems Plc	Christophe Menard	GBP	1,963.5	2,140.0	9%	Hold	10.8%	11.0%	11.1%	1.9	1.7	1.6	17.6	15.8	14.4	23.7	21.0	19.3	1.9%	2.1%	2.3%	3.8%	4.7%	5.1%	62%	71%	71%
Thales	Christophe Menard	EUR	236.8	283.0	20%	Hold	12.7%	13.0%	13.5%	2.0	1.8	1.6	16.0	13.9	11.8	27.6	22.5	19.0	1.8%	2.1%	2.5%	4.2%	5.1%	6.1%	69%	75%	79%
Dassault Aviation**	Christophe Menard	EUR	303.6	330.0	9%	Hold	9.1%	9.6%	10.1%	1.7	1.5	1.3	18.4	15.2	12.1	19.5	16.4	13.8	1.5%	1.7%	2.1%	3.0%	1.1%	1.4%	91%	27%	26%
Renk AG	Christophe Menard	EUR	45.7	73.0	60%	Buy	17.6%	18.1%	18.7%	3.1	2.6	2.2	17.8	14.6	11.9	25.8	20.7	16.6	1.8%	2.4%	3.0%	3.8%	4.4%	5.3%	64%	61%	61%
Rheinmetall	Christoph Laskawi	EUR	1,030.8	1,800.0	75%	Buy	19.1%	20.0%	20.6%	3.1	2.2	1.7	16.1	11.0	8.2	25.4	17.1	13.0	1.5%	2.2%	2.9%	8.5%	0.1%	3.5%	146%	2%	31%
Leonardo	Christophe Menard	EUR	52.3	70.0	34%	Buy	9.3%	10.3%	10.9%	1.6	1.4	1.2	16.8	13.5	11.3	21.1	17.1	14.5	1.5%	1.9%	2.3%	3.3%	3.7%	4.2%	48%	45%	44%
Hensoldt	Christophe Menard	EUR	78.9	101.0	28%	Buy	13.7%	15.0%	16.5%	3.6	3.1	2.5	26.5	20.5	15.3	42.9	30.2	21.6	0.9%	1.2%	1.6%	2.2%	3.0%	4.0%	53%	57%	58%
QinetiQ Group	Richard Paige	GBP	482.0	600.0	24%	Buy	11.3%	11.2%	11.3%	1.4	1.3	1.3	12.4	11.7	11.1	15.3	14.4	13.2	2.3%	2.5%	2.7%	6.2%	6.0%	7.4%	73%	70%	82%
Chemring Group PLC	Richard Paige	GBP	597.5	650.0	9%	Buy	15.0%	15.6%	16.1%	3.3	3.0	2.7	21.8	19.0	16.7	29.4	25.9	23.3	1.4%	1.6%	1.8%	0.0%	2.0%	4.1%	0%	35%	63%
Babcock International	James Beard	GBP	1,143.0	1,100.0	-4%	Hold	5.7%	8.4%	8.7%	1.2	1.1	1.0	20.5	13.0	11.4	29.3	17.9	15.8	0.7%	0.9%	1.0%	4.6%	3.1%	4.4%	89%	39%	50%
Fincantieri	Sriram Krishnan, CFA	EUR	12.7	19.0	49%	Buy	4.3%	5.4%	6.0%	0.6	0.6	0.5	14.9	10.6	8.7	27.7	16.4	12.7	0.0%	1.2%	1.9%	-1.0%	0.0%	4.3%	-12%	0%	30%
Exosens	Sriram Krishnan, CFA	EUR	61.4	60.0	-2%	Hold	27.5%	27.7%	28.1%	6.0	5.2	4.3	22.0	18.9	15.4	30.3	26.2	21.5	0.6%	0.9%	1.1%	2.4%	2.8%	3.3%	50%	51%	49%
Theon International	Sriram Krishnan, CFA	EUR	33.7	39.0	16%	Buy	25.4%	25.6%	26.6%	5.3	4.1	3.4	20.9	16.0	12.7	24.8	20.1	15.2	1.0%	1.2%	1.6%	0.6%	1.9%	3.6%	10%	25%	38%
TKMS	Sriram Krishnan, CFA	EUR	80.3	110.0	37%	Buy	6.6%	7.1%	7.5%	1.5	1.2	0.9	23.1	16.8	11.4	45.1	35.0	26.7	0.0%	0.9%	1.3%	3.4%	5.8%	7.8%	115%	154%	160%
CSG	Sriram Krishnan, CFA	EUR	16.0	25.0	57%	Buy	24.1%	24.4%	25.0%	2.2	1.8	1.5	9.3	7.6	5.8	14.9	12.1	9.7	0.0%	2.5%	3.4%	6.2%	6.6%	8.8%	55%	50%	55%
Saab	*Not covered*	SEK	593.4	-	-	-	10.8%	11.2%	11.7%	3.3	2.7	2.3	30.7	24.2	19.8	39.5	31.0	25.1	0.6%	0.7%	0.9%	0.8%	1.1%	2.2%	24%	27%	43%
Kongsberg Gruppen	*Not covered*	NOK	290.9	-	-	-	16.7%	17.6%	18.3%	6.0	4.0	3.1	35.9	22.7	16.9	42.0	27.2	20.4	1.7%	2.4%	3.5%	2.5%	4.3%	6.3%	89%	99%	107%
Indra Sistemas	*Not covered*	EUR	53.8	-	-	-	10.2%	10.9%	11.4%	1.3	1.2	1.0	12.9	10.8	9.1	19.7	16.5	14.0	0.8%	0.9%	1.1%	4.8%	5.6%	7.1%	65%	63%	68%
Exail	*Not covered*	EUR	124.1	-	-	-	16.7%	19.0%	20.4%	3.9	3.2	2.7	23.4	16.6	13.1	98.8	35.7	24.7	0.0%	0.0%		2.3%	3.1%	4.5%	51%	49%	56%
Defence median							**12.0%**	**12.1%**	**12.6%**	**2.1**	**1.8**	**1.6**	**18.4**	**15.2**	**11.9**	**27.6**	**20.7**	**16.6**	**1.2%**	**1.7%**	**2.1%**	**3.1%**	**3.1%**	**4.3%**	**63%**	**50%**	**56%**
UK median							**11.3%**	**11.2%**	**11.3%**	**1.9**	**1.7**	**1.6**	**20.5**	**15.8**	**14.4**	**29.3**	**21.0**	**19.3**	**1.4%**	**1.6%**	**1.8%**	**3.6%**	**4.1%**	**4.7%**	**73%**	**39%**	**71%**
EU median							**10.4%**	**11.2%**	**11.7%**	**2.1**	**1.8**	**1.5**	**20.2**	**16.0**	**12.2**	**27.6**	**22.5**	**16.7**	**1.0%**	**1.5%**	**2.1%**	**2.9%**	**3.3%**	**4.3%**	**54%**	**46%**	**50%**
European A&D Sector median							**10.8%**	**11.2%**	**11.7%**	**2.0**	**1.8**	**1.5**	**20.2**	**15.8**	**12.2**	**27.6**	**21.0**	**16.7**	**1.1%**	**1.7%**	**2.1%**	**3.3%**	**3.6%**	**4.5%**	**57%**	**46%**	**55%**
European A&D Sector average / mean							**12.5%**	**13.3%**	**14.2%**	**2.5**	**2.1**	**1.8**	**21.7**	**17.6**	**13.8**	**33.7**	**25.3**	**19.9**	**1.1%**	**1.5%**	**1.9%**	**3.2%**	**3.3%**	**4.8%**	**57%**	**50%**	**61%**

uncovered stocks data is from Bloomberg
** Dassault EV excluding Thales value

*Source : Deutsche Bank Research , Bloomberg Finance LP for non-covered companies; *Based on closing prices as of 23 July 2026*

Valuation table – listed major US A&D companies

Figure 21: US A&D sector valuation snapshot

Company Name	Lead Analyst	Currency	Current	Target	Upside/	Rating	EBIT Margin (%)			EV/Sales			EV/EBIT			PE			Dividend yield			FCF yield			FCF Conversion		
24/Jul/26			Price	Price	downside		2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028	2026	2027	2028
General Electric	Scott Deuschle	USD	349	442	27%	Buy	21.3%	21.7%	22.4%	8.1	7.3	6.7	37.8	33.3	29.9	44.2	38.4	33.8	0.5%	0.6%	0.7%	2.3%	2.5%	2.8%	81%	77%	75%
Raytheon	Scott Deuschle	USD	209	238	14%	Buy	13.2%	13.8%	14.4%	3.3	3.1	2.9	24.9	22.8	20.8	29.6	26.8	24.2	1.4%	1.5%	1.6%	3.1%	3.7%	4.3%	68%	74%	75%
Honeywell Technologie	Nicole DeBlase	USD	246	282	15%	Buy	17.3%	19.7%	27.5%	5.1	4.8	4.8	26.5	23.1	17.5	29.7	24.8	19.5	1.7%	1.5%	1.5%	2.6%	3.0%	4.8%	57%	58%	63%
Boeing	Scott Deuschle	USD	209	244	17%	Hold	0.9%	4.3%	6.8%	2.0	1.8	1.6	NM	34.8	21.6	NM	49.1	25.6	0.0%	0.2%	0.6%	1.7%	3.4%	6.6%	NM	116%	130%
Lockheed Martin	Scott Deuschle	USD	569	581	2%	Hold	11.9%	11.7%	11.6%	1.9	1.8	1.7	15.4	14.6	13.8	18.9	17.6	16.4	2.5%	2.6%	2.7%	5.4%	5.0%	5.4%	74%	66%	67%
General Dynamics	Scott Deuschle	USD	382	380	0%	Hold	10.6%	11.0%	11.1%	1.9	1.9	1.8	18.5	17.1	16.0	22.9	20.9	19.3	1.7%	1.7%	1.8%	4.5%	4.6%	5.0%	79%	73%	76%
Northrop Grumman	Scott Deuschle	USD	533	615	15%	Buy	10.5%	10.5%	10.7%	2.1	1.9	1.8	19.6	18.1	16.8	18.6	17.6	16.2	1.8%	2.0%	2.1%	4.4%	4.7%	4.7%	73%	71%	68%
Transdigm	Scott Deuschle	USD	1,214	1,359	12%	Hold	48.6%	49.0%	50.0%	9.3	8.5	7.9	19.8	17.6	16.1	30.3	25.9	22.9	8.2%	4.1%	6.6%	2.8%	3.4%	4.1%	38%	41%	45%
L3Harris	Scott Deuschle	USD	300	285	-5%	Hold	13.3%	14.1%	14.8%	2.8	2.6	2.4	19.8	17.9	16.1	25.4	22.0	19.2	1.7%	1.7%	1.8%	5.5%	5.7%	6.3%	97%	87%	86%
Howmet Aero	Scott Deuschle	USD	287	338	18%	Buy	29.5%	30.2%	31.9%	12.0	10.6	9.6	41.3	35.7	30.9	56.7	47.4	40.1	0.2%	0.2%	0.2%	1.7%	2.0%	2.5%	69%	68%	69%
Heico Corp	Scott Deuschle	USD	341	403	18%	Buy	23.9%	24.4%	24.8%	8.1	7.4	6.8	34.1	30.4	27.7	55.8	49.2	43.6	0.1%	0.1%	0.1%	2.5%	2.9%	3.2%	78%	80%	79%
Huntington Ingalls	Scott Deuschle	USD	287	280	-2%	Hold	5.4%	5.8%	6.1%	1.1	1.0	1.0	19.8	16.4	14.0	16.5	14.4	12.4	1.9%	2.0%	2.2%	4.7%	5.3%	6.1%	77%	74%	78%
Hexcel	Scott Deuschle	USD	110	94	-14%	Hold	13.1%	15.0%	16.3%	4.4	4.0	3.7	34.9	27.5	23.0	48.1	34.5	28.7	0.7%	0.7%	0.8%	2.4%	3.0%	3.5%	72%	74%	72%
Woodward	Scott Deuschle	USD	412	500	21%	Buy	18.0%	18.8%	19.9%	5.9	5.4	4.9	32.9	29.1	24.9	44.1	38.9	32.5	0.3%	0.3%	0.4%	1.4%	2.4%	2.8%	44%	69%	69%
Crane	Scott Deuschle	USD	218	248	14%	Buy	20.2%	21.6%	22.9%	4.7	4.4	4.2	23.2	21.0	19.1	31.9	28.6	25.2	0.5%	0.5%	0.5%	3.1%	3.7%	4.3%	67%	71%	74%
ATI	Scott Deuschle	USD	200	231	16%	Buy	17.9%	19.8%	21.1%	5.8	5.3	4.9	33.4	28.0	24.5	44.9	36.7	31.7				1.8%	2.2%	2.9%	56%	55%	63%
Teledyne Tech	*Not Covered*	USD	651	-	-	-	23.3%	23.2%	23.4%	4.9	4.7	4.4	21.1	20.1	19.0	26.6	24.7	23.0	0.0%	0.0%	0.0%	3.7%	4.2%	4.5%	73%	80%	81%
Textron	*Not Covered*	USD	93	-	-	-	9.4%	9.8%	10.1%	1.3	1.2	1.2	13.5	12.4	11.7	14.4	12.8	11.5	0.1%	0.1%	0.1%	4.4%	5.7%	7.0%	49%	58%	68%
Curtiss Wright	*Not Covered*	USD	750	-	-	-	19.2%	19.8%	20.4%	7.5	7.0	6.5	39.4	35.3	31.7	49.3	43.9	39.1	0.1%	0.1%	0.1%	2.1%	2.3%	2.5%	82%	78%	78%
Parsons Corp	*Not Covered*	USD	58	-	-	-	6.7%	7.6%	8.2%	1.2	1.1	1.0	17.5	14.4	12.6	17.8	15.9	14.3	0.0%	0.0%	0.0%	6.5%	7.5%	8.2%	91%	87%	83%
Moog	*Not Covered*	USD	410	-	-	-	12.1%	12.5%	12.8%	3.3	3.0	2.8	26.8	24.4	21.9	38.4	35.2		0.3%	0.3%	0.3%	1.6%	2.4%	1.9%	39%	53%	38%
Aerovironment	*Not Covered*	USD	159	-	-	-	-13.3%	0.3%	3.3%	4.3	3.8	3.3	NM	NM	99.0	55.3	48.9	35.5				-0.2%	-0.5%	2.6%	NM	NM	253%
Kratos Defense	*Not Covered*	USD	49	-	-	-	1.4%	4.8%	6.3%	4.6	3.7	3.1	NM	78.2	49.7	66.4	47.4	38.9				-1.0%	-0.3%	0.6%	NM	-27%	37%
AAR Corp	*Not Covered*	USD	129	-	-	-	10.1%	10.3%	10.8%	1.9	1.7	1.6	18.4	16.3	14.6	26.4	22.7	19.8				1.3%	1.6%	2.0%	21%	22%	24%
Mercury Systems	*Not Covered*	USD	106	-	-	-	0.2%	5.7%	9.6%	7.0	6.4	5.8	NM	NM	60.9	98.2	68.7	49.8				0.9%	1.4%	2.3%	NM	145%	133%
FTAI	Shannon Doherty	USD	217	335	55%	Buy	25.0%	27.8%	28.9%	1.1	0.6	0.2				2.1	1.3	1.1	0.8%	0.8%	0.8%	49.3%	74.6%	84.4%			961%
US A&D Sector median							**12.1%**	**12.5%**	**12.8%**	**4.4**	**3.8**	**3.3**	**23.2**	**22.8**	**20.8**	**30.3**	**27.7**	**24.2**	**0.4%**	**0.4%**	**0.5%**	**2.5%**	**3.0%**	**4.1%**	**72%**	**71%**	**72%**
US A&D Sector average / mean							**13.5%**	**15.2%**	**16.5%**	**4.5**	**4.1**	**3.8**	**25.0**	**25.3**	**26.2**	**38.0**	**32.5**	**26.6**	**1%**	**1%**	**1%**	**2.8%**	**3.3%**	**4.1%**	**65%**	**68%**	**80%**

*Source : Deutsche Bank Research, Bloomberg Finance LP; *Based on closing prices as of 23 July 2026*

Absolute and relative share price performance – European A&D stocks

Figure 22: European A&D sector share price performance

Company Name	Currency	Current Price	Absolute performance %						vs 52 week High	vs 52 week Low	Relative performance % (vs Stoxx 600)					
			1W	1M	3M	6M	12M	YTD			1W	1M	3M	6M	12M	YTD
Airbus	EUR	204	5%	5%	23%	-1%	12%	3%	-8%	30%	5%	3%	18%	-7%	-5%	-6%
Safran	EUR	324	-2%	-4%	20%	4%	16%	9%	-10%	23%	-2%	-5%	15%	-1%	0%	1%
MTU Aero	EUR	339	-1%	-5%	16%	-10%	-7%	-5%	-16%	28%	-1%	-6%	11%	-16%	-24%	-13%
Rolls Royce	GBP	1,377	1%	-3%	22%	10%	40%	19%	-9%	42%	1%	-4%	17%	4%	23%	11%
Melrose	GBP	474	2%	-1%	-5%	-25%	-9%	-19%	-31%	7%	2%	-2%	-11%	-31%	-25%	-28%
Lisi *	EUR	65	0%	-3%	8%	19%	70%	23%	-10%	80%	-1%	-4%	3%	13%	53%	15%
FACC *	EUR	16	2%	-15%	23%	37%	124%	38%	-19%	135%	1%	-16%	17%	32%	107%	30%
Avio	EUR	29	-1%	-5%	-11%	126%	40%	-2%	-45%	42%	-1%	-7%	-16%	120%	24%	-10%
Montana Aero	CHF	23	5%	12%	5%	-31%	-19%	-18%	-35%	17%	5%	10%	-1%	-37%	-35%	-27%
FIGAEC Aero	EUR	11	-2%	-6%	10%	-4%	1%	1%	-16%	22%	-2%	-7%	5%	-9%	-15%	-7%
Civil median			**0%**	**-4%**	**9%**	**7%**	**28%**	**6%**	**-16%**	**36%**	**0%**	**-5%**	**4%**	**2%**	**11%**	**-3%**
BAE Systems	GBP	1,964	4%	8%	-3%	-3%	6%	15%	-17%	24%	4%	6%	-8%	-9%	-10%	6%
Thales	EUR	237	6%	5%	2%	-8%	-1%	3%	-15%	11%	6%	4%	-4%	-14%	-17%	-5%
Dassault Aviation	EUR	304	6%	3%	2%	-9%	14%	11%	-16%	16%	6%	2%	-3%	-15%	-3%	3%
Renk	EUR	46	4%	7%	-16%	-23%	-35%	-15%	-49%	13%	4%	6%	-21%	-29%	-52%	-23%
Rheinmetall	EUR	1,031	5%	9%	-22%	-44%	-41%	-34%	-49%	15%	5%	7%	-27%	-49%	-57%	-42%
Leonardo	EUR	52	3%	9%	-1%	-10%	10%	6%	-21%	21%	3%	8%	-6%	-16%	-7%	-2%
Hensoldt	EUR	79	3%	14%	8%	-10%	-19%	8%	-33%	25%	3%	13%	3%	-15%	-35%	-1%
Saab *	SEK	593	5%	21%	5%	-17%	11%	10%	-21%	33%	4%	20%	0%	-23%	-5%	2%
Kongsberg Gruppen	NOK	291	5%	0%	-8%	9%	13%	35%	-18%	54%	5%	-1%	-13%	3%	-4%	27%
QinetiQ	GBP	482	6%	13%	7%	-8%	-4%	8%	-13%	21%	6%	12%	2%	-13%	-20%	0%
Babcock	GBP	1,143	10%	16%	1%	-21%	9%	-8%	-25%	27%	10%	15%	-4%	-27%	-8%	-16%
Chemring	GBP	598	7%	23%	13%	14%	10%	26%	-4%	34%	7%	22%	8%	8%	-6%	18%
Fincantieri	EUR	13	1%	20%	5%	-25%	-24%	-24%	-54%	32%	1%	19%	-1%	-31%	-41%	-32%
Indra Sistemas	EUR	54	10%	5%	13%	-2%	42%	11%	-19%	66%	10%	4%	8%	-8%	25%	2%
Exosens	EUR	61	9%	11%	-4%	12%	55%	27%	-17%	70%	9%	10%	-9%	6%	39%	18%
Exail	EUR	124	0%	25%	4%	19%	7%	50%	-22%	76%	0%	24%	-1%	13%	-10%	42%
Theon	EUR	34	4%	6%	1%	12%	24%	27%	-8%	54%	4%	5%	-5%	6%	8%	19%
TKMS	EUR	80	0%	-6%	-1%	-19%		21%	-25%	41%	0%	-7%	-6%	-25%		13%
CSG	EUR	16	12%	25%	-20%			-36%	-55%	31%	12%	24%	-25%			-45%
Defence median			**5%**	**9%**	**2%**	**-8%**	**9%**	**10%**	**-19%**	**27%**	**5%**	**8%**	**-4%**	**-14%**	**-8%**	**2%**
UK median			**4%**	**8%**	**1%**	**-3%**	**9%**	**15%**	**-13%**	**27%**	**4%**	**6%**	**-4%**	**-9%**	**-8%**	**6%**
EU median			**4%**	**5%**	**4%**	**-3%**	**12%**	**8%**	**-19%**	**31%**	**4%**	**4%**	**-1%**	**-9%**	**-5%**	**0%**
European A&D Sector median			**4%**	**4%**	**3%**	**-6%**	**10%**	**8%**	**-17%**	**26%**	**4%**	**3%**	**-2%**	**-11%**	**-6%**	**0%**
European A&D Sector average / mean			**3%**	**3%**	**4%**	**2%**	**22%**	**12%**	**-23%**	**45%**	**3%**	**2%**	**-2%**	**-3%**	**5%**	**3%**

*Source : Deutsche Bank, company data; *Based on closing prices as of 23 July 2026*

Absolute and relative share price performance – US A&D stocks

Figure 23: US A&D sector share price performance

Company Name	Currency	Current Price	Absolute performance %						vs 52 week High	vs 52 week Low	Relative performance % (vs S&P 500)					
			1W	1M	3M	6M	12M	YTD			1W	1M	3M	6M	12M	YTD
Boeing	USD	209	-2%	-5%	-10%	-17%	-10%	-4%	-18%	18%	-2%	-6%	-13%	-24%	-26%	-12%
Honeywell Technolo	USD	246	9%	3%	10%	6%	11%	20%	-5%	26%	10%	3%	7%	-1%	-5%	12%
General Electric	USD	349	0%	-5%	23%	19%	30%	12%	-9%	33%	1%	-5%	19%	12%	14%	5%
Raytheon	USD	209	8%	13%	20%	7%	35%	14%	-2%	39%	9%	12%	17%	0%	18%	6%
Transdigm	USD	1214	0%	-8%	6%	-14%	-24%	-8%	-20%	8%	1%	-9%	2%	-22%	-41%	-15%
Heico Corp	USD	341	-1%	2%	29%	2%	6%	4%	-8%	33%	0%	1%	26%	-5%	-10%	-4%
Teledyne Tech	USD	651	2%	6%	0%	7%	18%	26%	-6%	35%	3%	6%	-3%	0%	2%	18%
Howmet Aero	USD	287	5%	4%	18%	34%	54%	38%	-1%	69%	6%	3%	15%	26%	37%	31%
Textron	USD	93	2%	8%	6%	-2%	15%	5%	-8%	23%	3%	7%	3%	-9%	-1%	-2%
Curtiss Wright	USD	750	6%	-2%	5%	16%	57%	34%	-7%	61%	7%	-2%	1%	8%	40%	27%
Hexcel	USD	110	6%	15%	23%	31%	76%	47%	-1%	89%	7%	14%	20%	23%	60%	39%
Parsons Corp	USD	58	4%	20%	9%	-20%	-23%	-6%	-35%	25%	5%	19%	6%	-27%	-39%	-14%
Mercury Systems	USD	106	11%	1%	36%	7%	103%	44%	-17%	112%	11%	1%	33%	0%	86%	37%
Moog	USD	410	4%	1%	31%	40%	120%	66%	-5%	132%	5%	0%	28%	33%	104%	59%
AAR Corp	USD	129	-4%	-3%	17%	23%	67%	55%	-12%	81%	-4%	-3%	14%	15%	51%	48%
Woodward	USD	412	5%	-5%	13%	26%	61%	36%	-9%	77%	6%	-6%	9%	19%	45%	28%
Crane	USD	218	0%	2%	21%	7%	15%	16%	-4%	37%	1%	1%	18%	0%	-1%	9%
ATI	USD	200	7%	1%	30%	62%	114%	72%	-3%	184%	8%	0%	26%	55%	98%	65%
Civil median			**4%**	**1%**	**18%**	**7%**	**32%**	**23%**	**-8%**	**38%**	**5%**	**1%**	**14%**	**0%**	**16%**	**15%**
Lockheed Martin	USD	569	12%	16%	11%	-4%	35%	17%	-18%	38%	12%	15%	7%	-11%	19%	9%
General Dynamics	USD	382	4%	11%	22%	5%	21%	12%	-2%	25%	4%	10%	19%	-2%	5%	5%
Northrop Grumman	USD	533	2%	6%	-7%	-21%	-6%	-7%	-31%	11%	3%	5%	-11%	-28%	-23%	-15%
L3Harris	USD	300	6%	4%	-6%	-16%	10%	1%	-21%	14%	7%	4%	-9%	-23%	-7%	-6%
Huntington Ingalls	USD	287	7%	3%	-20%	-31%	9%	-16%	-38%	12%	7%	2%	-23%	-39%	-7%	-23%
Kratos Defense	USD	49	7%	3%	-19%	-55%	-16%	-35%	-63%	8%	8%	2%	-23%	-62%	-32%	-42%
Aerovironment	USD	159	12%	12%	-19%	-48%	-41%	-35%	-62%	17%	12%	11%	-23%	-56%	-58%	-42%
Defence median			**7%**	**6%**	**-7%**	**-21%**	**9%**	**-7%**	**-31%**	**14%**	**7%**	**5%**	**-11%**	**-28%**	**-7%**	**-15%**
US A&D Sector median			**4%**	**1%**	**18%**	**7%**	**32%**	**23%**	**-8%**	**38%**	**5%**	**1%**	**14%**	**0%**	**16%**	**15%**
US A&D Sector average / mean			**4%**	**3%**	**16%**	**13%**	**40%**	**26%**	**-9%**	**60%**	**4%**	**2%**	**13%**	**6%**	**24%**	**19%**

*Source : Deutsche Bank, company data; *Based on closing prices as of 23 July 2026*

Appendix 1

Important Disclosures

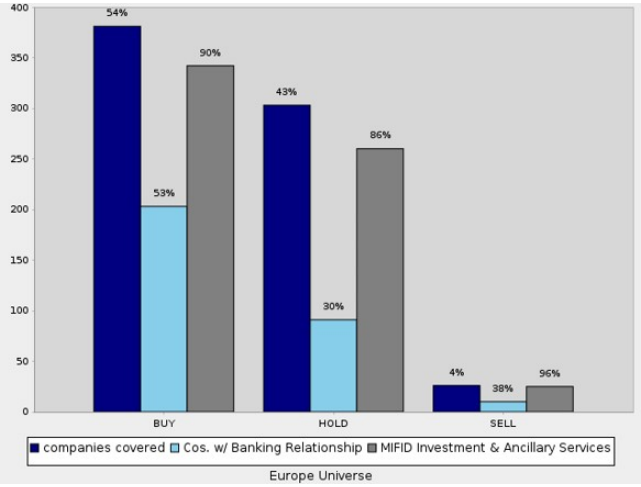
*Other information available upon request

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Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

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